CBRE

Retail Availability Tightens With Strong Absorption

▼ 4.8%
Availability Rate

▲ 11.3 MSF
Net Absorption

▼ 5.0 MSF
Completions

▲ $24.34
Asking Rent

Arrows indicate change from previous quarter.

Executive Summary

- Retail space availability tightened further in Q4 2025, with 11.3 million sq. ft. of absorption leading to a 10-basis-point drop in the overall availability rate to 4.8%.
- Excluding freestanding retail, demand was concentrated in neighborhood, community & strip centers, which saw nearly 3 million sq. ft. of net absorption.
- New deliveries fell to 5 million sq. ft., partly due to elevated construction costs and declining construction employment.
- Development activity remained heavily concentrated in Sun Belt markets—particularly Texas, which accounted for nearly 25% of new retail construction in 2025.
- While Sun Belt markets continued to lead in net absorption, demand increased in select Midwest markets like Chicago, which recorded 1.8 million sq. ft. of net absorption in Q4.

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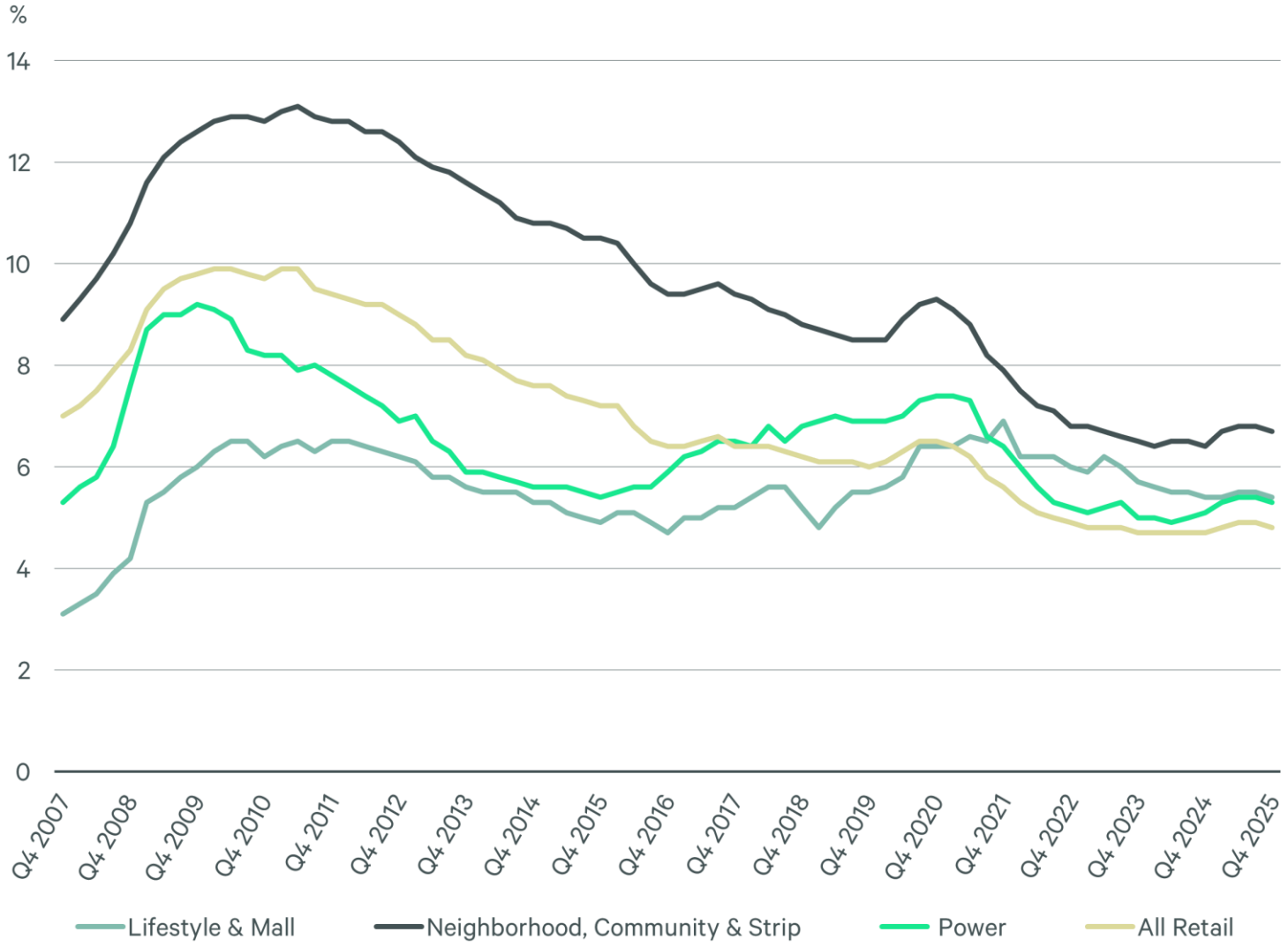
Figure 1
Retail availability rates fall slightly

- The overall retail availability rate fell by 10 basis points (bps) to 4.8% in Q4 2025, as net absorption reached the highest level since Q4 2023.
- Power centers had the lowest availability rate at 5.3%, followed by the lifestyle & mall segment at 5.4% and neighborhood, community & strip (NCS) centers at 6.7%.
- Occupiers will continue to face increased competition for space given these market conditions. Owners of newer retail properties will likely command rent premiums in the near term.



Source: CBRE Econometric Advisors, Q4 2025.

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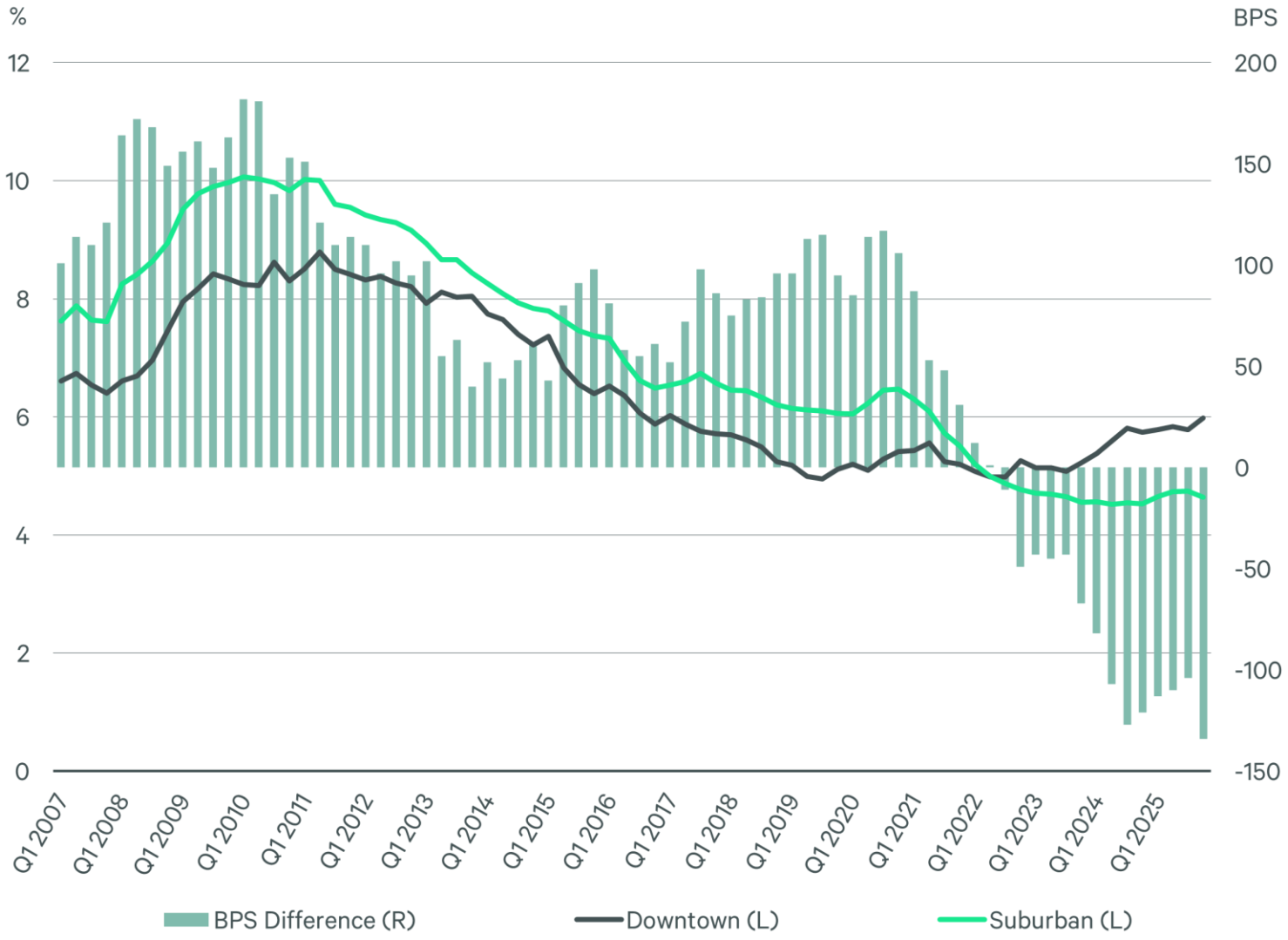
Figure 2
Gap between downtown & suburban availability widens

- The downtown availability rate rose by 20 bps in Q4 to 6.0%, while the suburban rate fell by 10 bps to 4.6%, likely the result of continued hybrid work arrangements.
- Increased leasing activity and return-to-office mandates will have a positive impact on downtown retail in the near term. We predict strong interest from food & beverage and service retailers that cater to office workers.
- As more employees return to the office, nearby street retailers or retailers conveniently located between residential neighborhoods and the office will be the primary beneficiaries.



Source: CBRE Econometric Advisors, Q4 2025.

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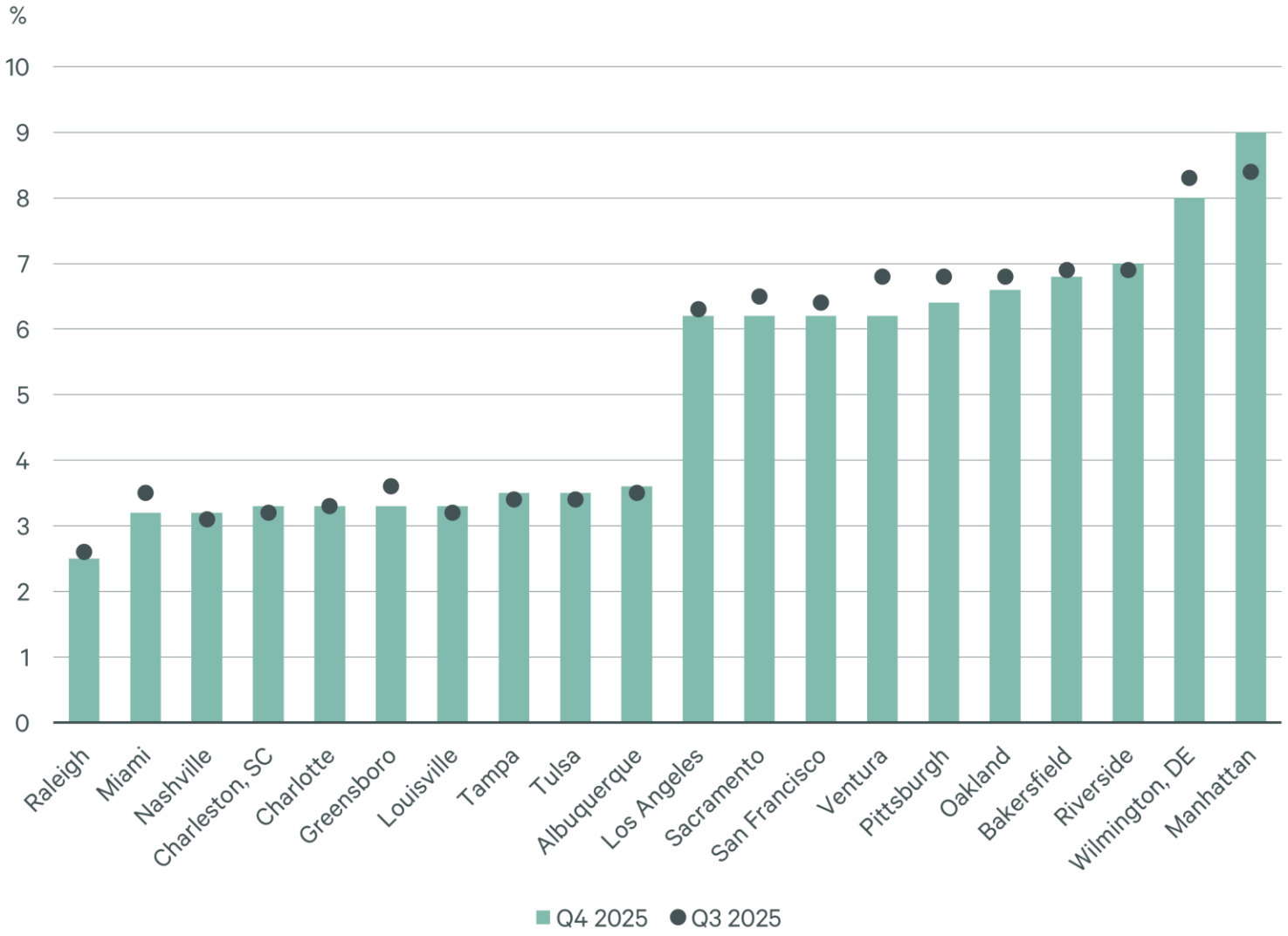
Figure 3
Top & bottom 10 markets by availability rates

- Sun Belt markets saw slight upticks in availability due to new construction in suburban areas.
- Markets with a higher proportion of total office inventory in downtown areas are seeing sharper declines in availability, as growing office leasing activity is reinvigorating demand for retail in urban centers.



Source: CBRE Econometric Advisors, Q4 2025.

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Figure 4
Construction completions continue to moderate

- Retail completions fell slightly quarter-over-quarter to 5 million sq. ft., contributing to the lowest rolling 4-quarter average since CBRE began tracking the market in 2005.
- Construction costs, lack of available development sites in prime locations and the decline in construction jobs have limited the amount of new construction.
- Most new construction remained concentrated in Sun Belt markets, particularly in six Texas markets that accounted for more than half of all new space delivered in Q4.

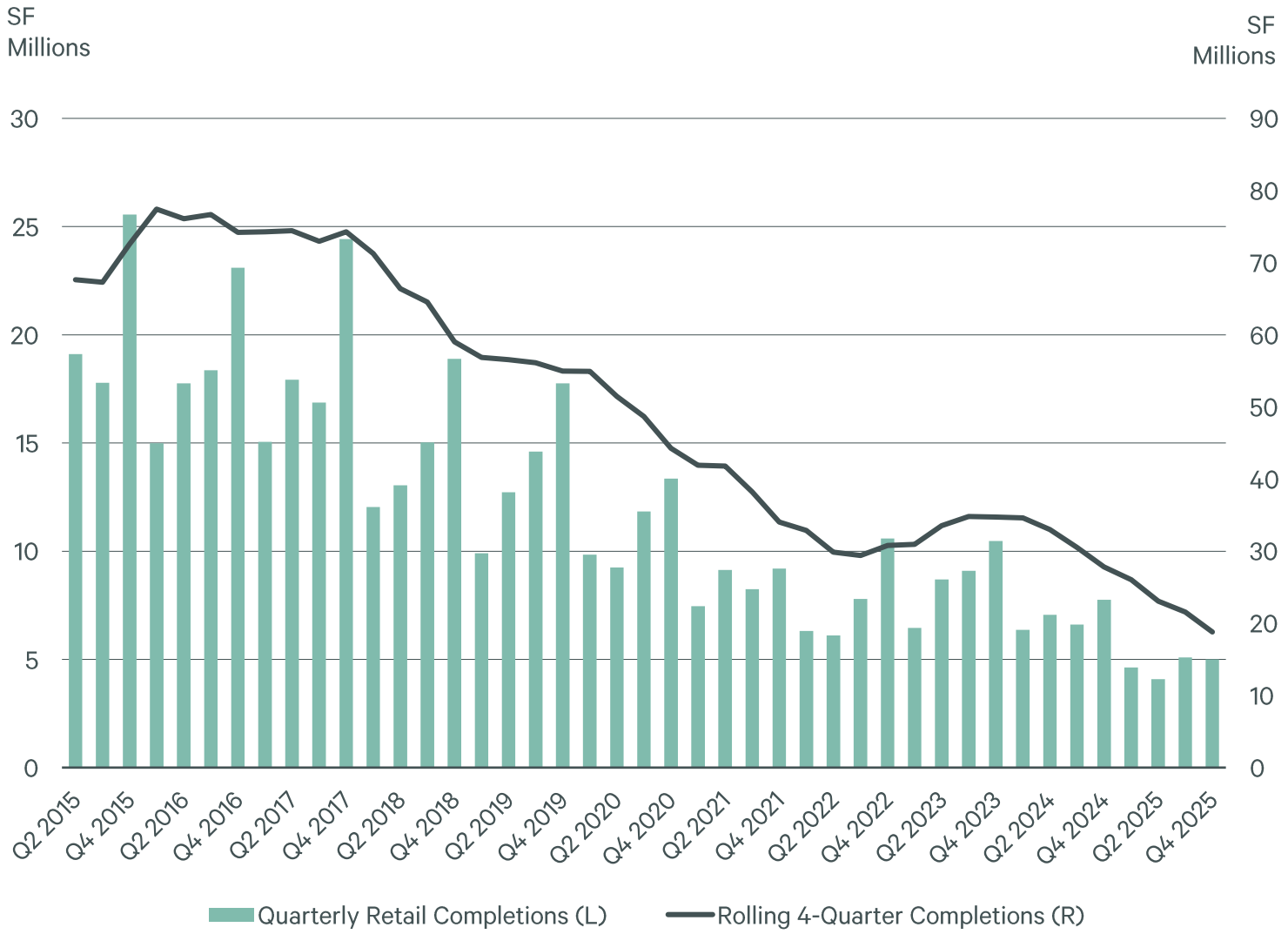

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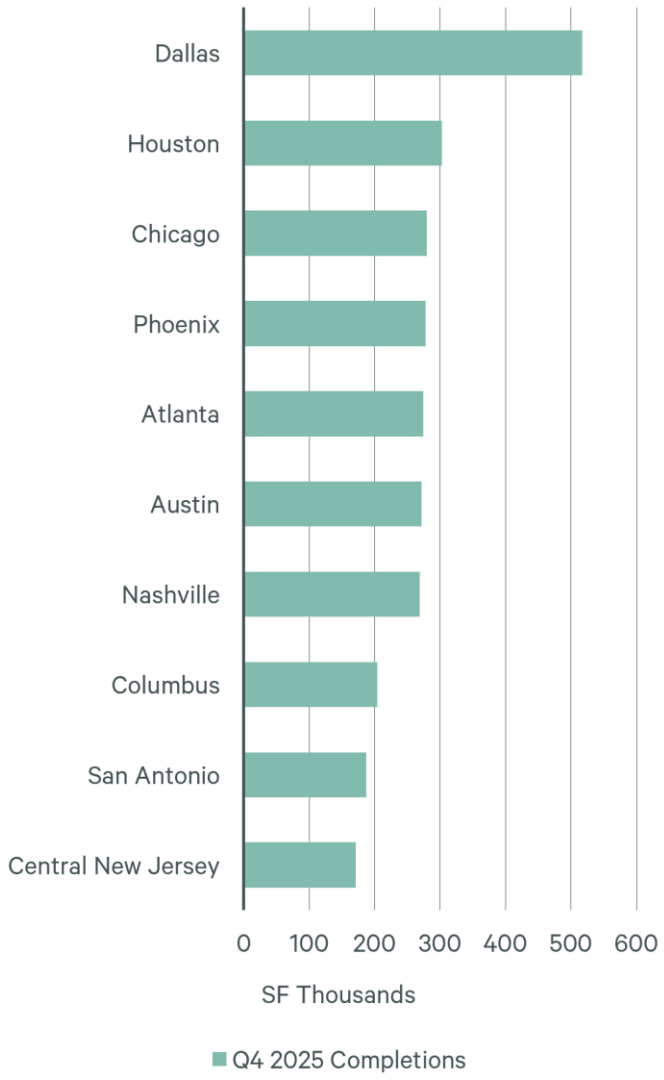
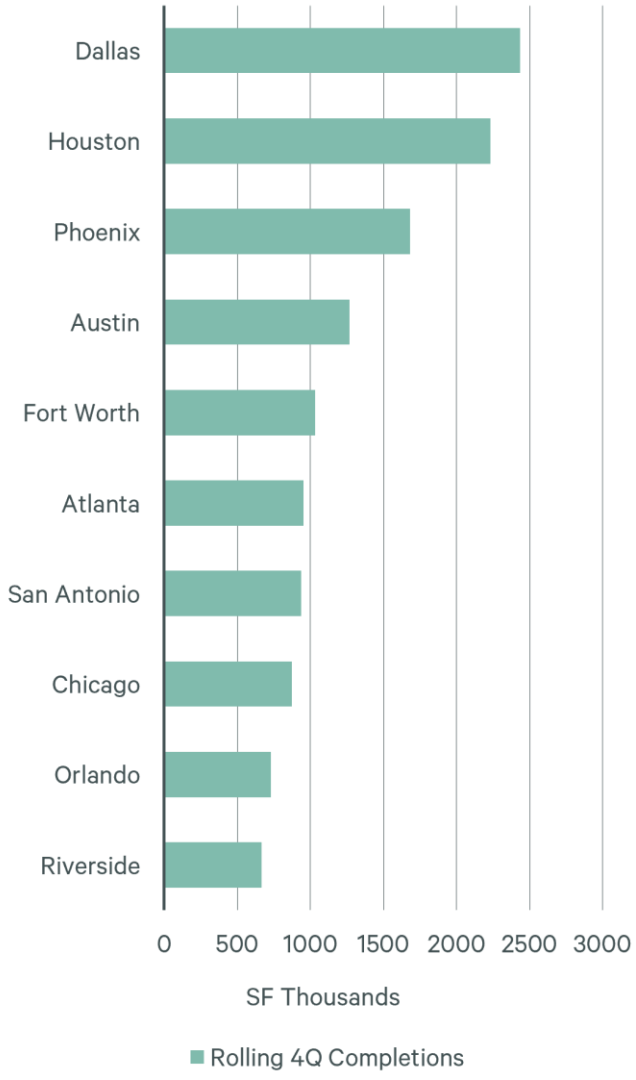
Figure 5
Sun Belt dominates top 10 markets for construction completions

- Dallas led for construction completions in Q4 with 517,000 sq. ft., followed by Houston with 303,000 sq. ft. and Chicago with 280,000 sq. ft.
- For the full year, Texas accounted for just under a quarter of total U.S. retail construction.
- The average quarterly completions level of 2.4 million sq. ft. in 2025 was nearly 70% lower than the 7.7 million-sq.-ft. average between 2015 and 2019.



Source: CBRE Econometric Advisors, Q4 2025.



Source: CBRE Econometric Advisors, Q4 2025.

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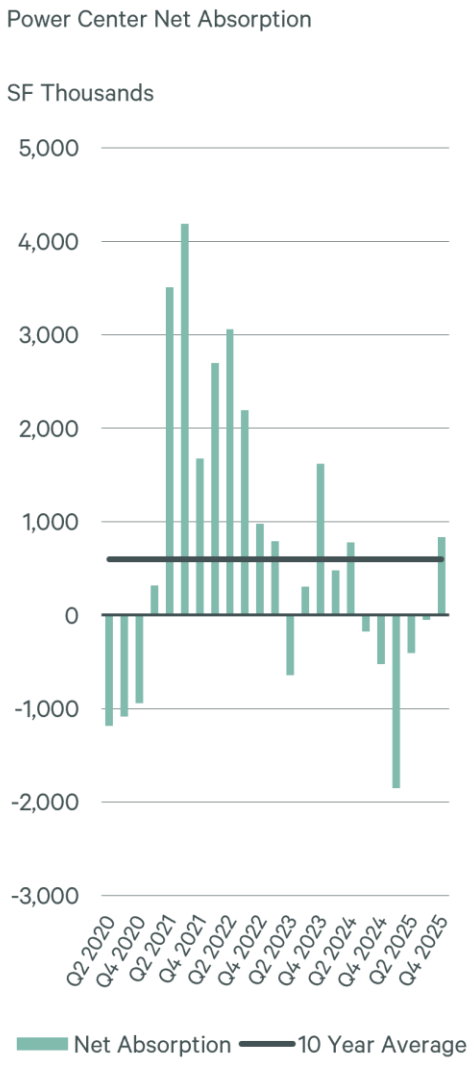
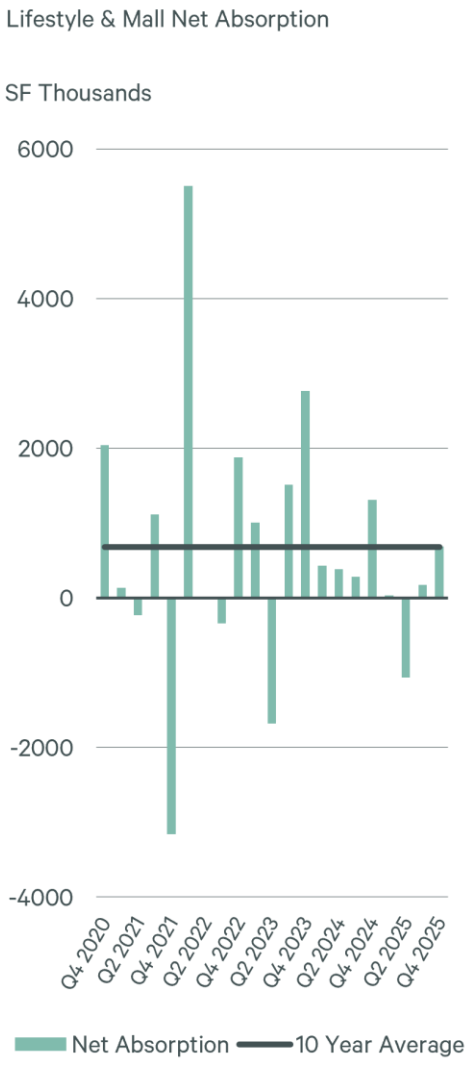
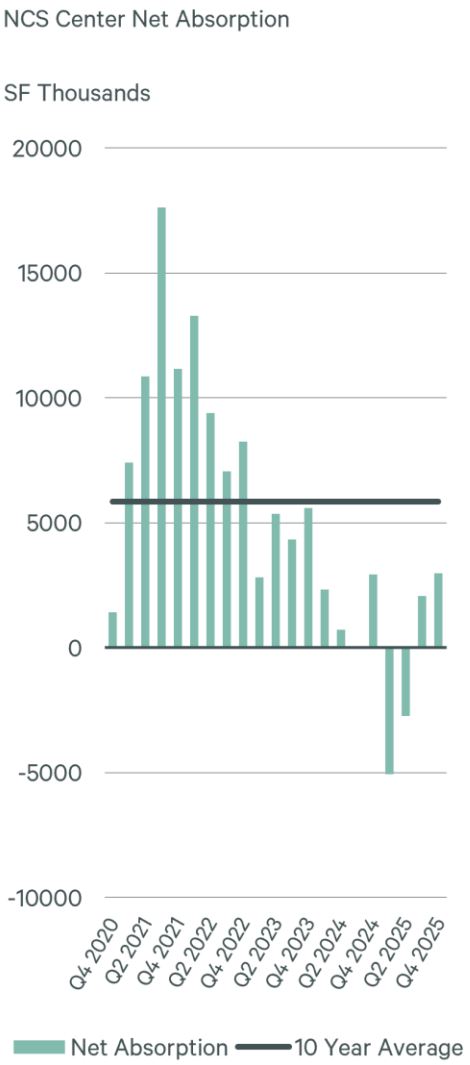
Figure 6
Net absorption by property type

- Excluding freestanding retail, NCS centers had the most demand with nearly 3 million sq. ft. of net absorption in Q4.
- NCS center absorption is expected to moderate as available supply dwindles, potentially causing some tenant demand to shift to other retail property types.
- While demand remained concentrated in the Sun Belt, certain Midwest markets like Chicago and Indianapolis saw increased demand.
- Lifestyle & mall and power center net absorption remained in line with historical averages at 679,000 and 597,000 sq. ft., respectively, in Q4.







Source: CBRE Econometric Advisors, Q4 2025

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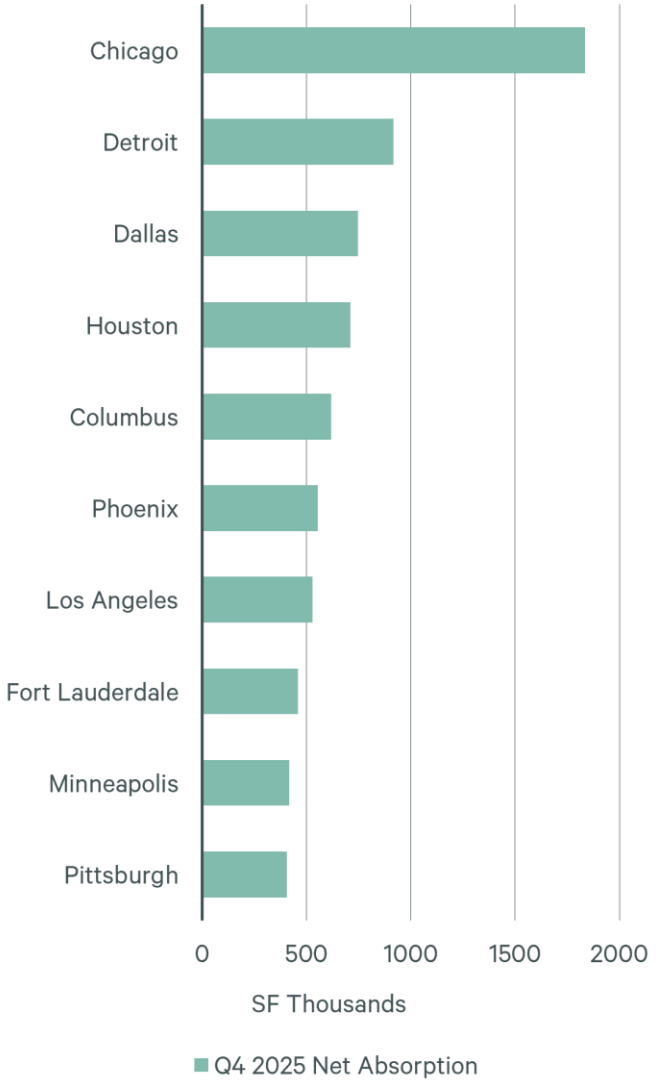
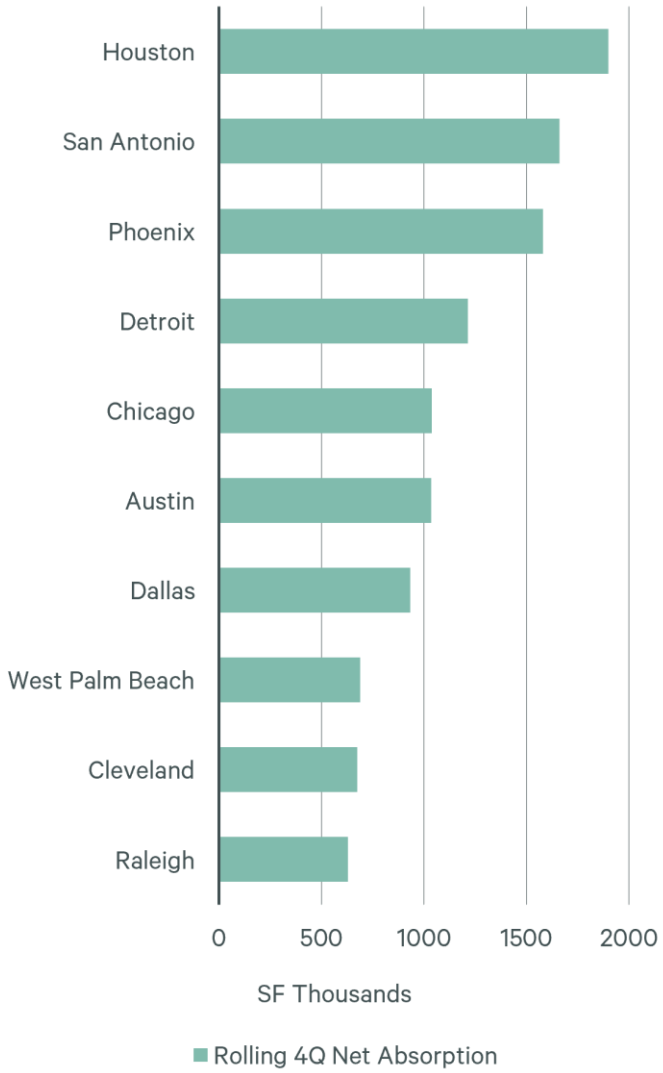
Figure 7
Top 10 markets for net absorption

- Occupiers continued a flight to quality and new construction, as the top markets for absorption in Q4 were also among the top markets for construction completions.
- For the full year, Texas markets accounted for more than half of total positive net absorption across the 40 markets tracked by CBRE.
- Chicago led for net absorption in Q4 with 1.8 million sq. ft., followed by Detroit with 916,000 and Dallas with 746,000.





Source: CBRE Econometric Advisors, Q4 2025

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